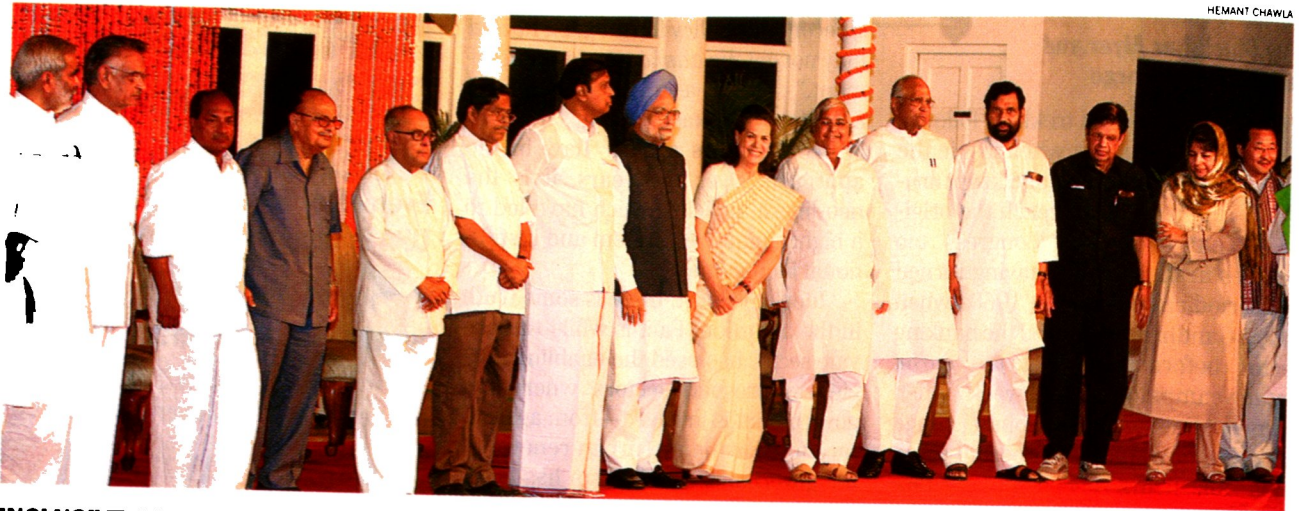




INCLUSIVE COALITION: Leaders at UPA's third anniversary meet

ways or Praful Patel in civil aviation—have overcome the system to deliver. But the big picture really is gloomy. Since the beginning of the year, the UPA Government has been on hold. It is not just the exigencies of coalition politics but the virtual absence of any consensus on issues concerning the populace.

The problem is that the prime minister is not playing with a team of his choice. It is not he but the calculus of the coalition which chooses the team. Result: there is a virtual free for all from everything ranging from the bio-diesel mission to allocation of spectrum to telecom players. That the prime minister has had to set up over 100 empowered GoMs is the strongest evidence of the near civil war situation in the council of ministers. It is not just important legislation that is hanging fire, even measures to stem the rot in critical sectors have dragged for years. Take, for instance, the new Electricity Act which was passed in 2003. But this government which came to power in May 2004, only last month managed to pass a bill to make electricity theft—that costs the economy over Rs 30,000

crore—a criminal offence.

Indeed, the prime minister seems to go through periodic out-of-body experiences. The economist-thinker in him seems to step outside like Krishna and ask very pertinent questions and even sermonise the system. You could argue that every time he says “we must or must not...”, he illustrates the distance between his vision and realpolitik. But, as the head of the executive, he is where the buck stops. For instance, Manmohan Singh was right in bringing up the concept of crony capitalism. But as BJP MP and former minister Arun Shourie says, “Why is he asking or debating the question? Is he the prime minister or the consultant to the prime minister?” The question he needs to ask is what this government has been able to do to stem this phenomenon. The bulldozing of the SEZ policy despite protestations from the Left and his own finance minister with the excessive tax sops is proof that this government has only fuelled crony capitalism.

With just two years left, the UPA is virtually in election mode. The recent

“I fear the Government may not get the ENDORSEMENT of the aam aadmi.”

MANI S. AIYAR
PANCHAYATI RAJ MINISTER



debacles have only hardened the view of the political class that pursuit of market economics results in electoral failure. That is partially true. Two committees of the Congress (headed by A.K. Antony and Pranab Mukherjee) since Sonia took over as the Congress president have concluded that the Nehruvian mixed economy continues to be relevant. That is the easy way out. The moot point is that delicensing and opening up sectors were the low hanging fruits of reforms.

What is more challenging is creating a political constituency for deep structural changes. For starters, the UPA has to realise that it is contesting for votes in one constituency and campaigning for popularity in another.

Effective delivery is the only way to create a political base for reforms. For this, it must make the bureaucracy—the permanent government—deliver. This requires leadership and leadership by definition is not consensus. *with Satarupa Bhattacharya*



“The neo-liberal policies have led to a highly INIQUITOUS system.”

PRAKASH KARAT
CPI(M) GENERAL SECRETARY

“Aam aadmi is the hardest hit with prices of ESSENTIAL GOODS rising.”

RAJNATH SINGH
BJP PRESIDENT

